

The Navi Nifty 50 Index Fund, however, is the cheapest among Nifty index funds with an expense ratio of 0.06 per cent. Almost all fund houses offer a similar Nifty index fund, but their average expense ratio is around 0.19 per cent.

Navi MF declined to comment for this story.

NJ Mutual Fund is another new fund house to enter the segment and its Balanced Advantage Fund has an expense ratio of 0.54 per cent, as per data from Value Research. Incidentally, there are many other balanced advantage funds—popularly known as the BAF category—with a lower cost component.

To be sure, one needs to look at the returns and the portfolio of schemes; cost cannot be the sole deciding factor. Index funds benchmarked to the same index, however, will not offer any differentiation in terms of stock constituents.

GAURAV RASTOGI, Founder & CEO of Kuvera, an online wealth management firm, believes that the next 10 years will see a huge wave of innovation in AMCs. “Starting from distribution to get the next 100 million investors into MFs, the other big innovation will be in products, where we are already seeing a lot of Big Data and proprietary data sets being used in the fund management process,” says Rastogi, adding that in more mature markets, every generation comes with its own unique sets of needs and sensibilities when it comes to investing. “Technology is a great leveller, which can help newer players to close the gap with existing players quickly by avoiding some of the pitfalls of legacy systems. However, domain knowledge will continue to be a distinct advantage for existing AMCs,” says Rastogi.

Interestingly, the regulatory framework for the MF industry has

ensured that while there is scope for innovation in terms of product design and structure, the incumbents are not really at a disadvantage as such. Most of the processes and compliance requirements are cast in stone and, hence, there is little scope for deviation, purely with an attempt to cut costs and offer a cheaper alternative—compared to those available currently—to investors. “Disruption is a fancy word. When private sector MFs came, they disrupted the public sector ones. In financial services, technology is a big disruptor when the old players or the incumbents are unable to change with the new real-

participants can differentiate and innovate or execute better than the incumbents, we can surely accommodate a greater number of players.”

Shenoy highlights the fact that since just around 5-6 per cent of the population invests in the stock markets, MFs will play a massive role to bring another 20-30 per cent of India into the investing landscape. “Someone in the 1920s said that ‘everything that can be invented has been invented’. So, one does not know what can be done until it is done. There is massive opportunity in the [MF] space



“Disruption is a fancy word. When private sector MFs came, they disrupted the public sector ones. In financial services, tech is a big disruptor. In MFs, everyone has changed and they have bigger resources”

DHIRENDRA KUMAR
CEO, VALUE RESEARCH

ity. In MFs, everyone has changed and they have bigger resources,” says Kumar of Value Research, adding that the heart of a retail financial services business is trust and the older fund houses have greater trust of consumers.

So, while one can say that there is definitely space for newer players, the growth trajectory of the new entrants is not expected to be similar to what was seen in some other sectors such as equity broking or banking. “Transaction execution is highly standardised and pricing is regulated, operating in a very tight range. I am not saying there is no scope for disruption. I am only saying the same players with the same modus operandi may not have the same impact as they have achieved in other areas,” says Somaiyaa. “If industry

in terms of product innovation, process innovation and conceptual changes,” he says.

While there seems to be a unanimous view that there is space for new players and that there will be innovation as well, only time will tell whether the MF arena will see a battle of the old against the new or would it be just among the bigger ones—old and new alike—who will continue to enjoy the benefits of scale. Either way, it is the average Indian investor who will emerge as the ultimate winner with access to innovative products at an affordable cost and, with the passage of time, a track record of performance also to choose from. **BT**

@ashishrukhaiyar